

Bitcoin Target and Leading Zeros Explained

In Bitcoin mining, the target is derived from a compact representation (nBits) using the formula:

$$\text{hashTarget} = \text{mantissa} \times 2^{(8 \times (\text{exponent} - 3))}$$

A valid block hash must be less than or equal to this target. The smaller the target, the more leading zeros are required in the hash.

Example 1: nBits = 0x1d00ffff

Exponent = 0x1d = 29

Mantissa = 0x00ffff

$$\begin{aligned}\text{Target} &= 65535 \times 2^{(8 \times (29 - 3))} \\ &= 65535 \times 2^{208}\end{aligned}$$

Hex form:

```
00000000FFFF00000000000000000000000000000000000000000000000000000
```

Leading zeros:

8 hex zeros = 32 bits

Example 2: nBits = 0x1705c739

Exponent = $0x17 = 23$

Mantissa = 0x05c739

$$\begin{aligned}\text{Target} &= 0x05c739 \times 2^{(8 \times (23 - 3))} \\ &= 0x05c739 \times 2^{160}\end{aligned}$$

Hex form:

[illegible]

Leading zeros:

18 hex zeros = 72 bits

Summary

1. Extract exponent and mantissa from nBits.
2. Compute target using the formula.
3. Convert target to 256-bit hex.
4. Count leading zeros (each hex digit = 4 bits).

Smaller target $\rightarrow$ more leading zeros $\rightarrow$ higher mining difficulty.